



A PRABHAKAR RAO

Jigsaw Puzzle

- Seventy bank accounts in other countries
- Insider trading
- Fake invoices showing false gains in sale of firms abroad and rerouting the funds to India
- Promoters investing quick money in real estate
- 357 firms floated to avoid detection

Buyers' Woes

- No realistic valuation of assets
- Employees and customers are only tangible assets
- Fear of huge penalties totalling to more than \$1 billion in Upaid fraud case and 13 class action suits in the US
- Auction only in the new financial year

NEARLY 75 DAYS AFTER THE ARREST OF RAJU, THE ONLY THING THAT THE PROBE HAS UNCOVERED IS THAT THE MAZE IS FAR DEEPER THAN WAS THOUGHT EARLIER.

some 53,000 documents gathered from searches so far besides an array of computers and servers that may yield forensic evidence on what exactly was done to siphon off money and stash it away through the 357 companies floated by the Raju brothers and others in the Satyam promoter group.

The CBI has gathered enough evidence to prove how Satyam Computers revenues were inflated and is probing rotation of funds and the role of front companies. "What we have found so far suggests that the accused generated fake invoices, showing imaginary money being pumped into the financial system and profits which were never

there," said one source. There are also strong leads on insider trading and, therefore, it is trying to understand the share transactions of the Satyam group companies on the National Stock Exchange (NSE) and the Bombay Stock Exchange (BSE). The funds realised by offloading shares were used to buy 1,500 properties.

The 16-member MDIT led by V.V. Lakshmi Narayana, an IPS officer of the rank of deputy inspector-general of police, has virtually converted the palatial Dilkusha Guest House in Hyderabad, once the transit home of visiting politicians and bureaucrats, into a fortified office. Though there are

finance, banking, accounts and auditing experts, the MDIT faces a gigantic task as none of the five in custody—the Raju brothers, Vadlamani and two ex-auditors S. Gopalakrishnan and Srinivas Talluri—is forthcoming. The case against them is of criminal conspiracy, criminal breach of trust, cheating, forgery, using forged documents and falsification of accounts.

In the early phases of questioning, the accused kept saying that they were not aware of how the fraud had been executed. However, the huge pile of documents seized, coupled with electronic evidence relating to fudging of records through fake bank accounts, fictitious invoices and balance sheets is expected to help investigators establish the nature and, at least, some aspects of the fraud. They are also seeking details of the land deals from the state Revenue Department.

Some leads gathered so far point to Satyam producing fake invoices to show that it had got Rs 5,000 crore from sales in New York. MDIT is now probing whether the money was rerouted when Satyam bought some nine companies in the US and other countries at a higher price and the extra sums were rerouted into India. With the SFIO, SEBI, ED and I-T Department teams sharing expertise and information, the MDIT may be able to unravel most of what transpired at Satyam during the Raju regime and where the missing cash, whatever its exact value, has been spirited away and whether it can be traced to the last paisa. The SFIO has found that the company had about 70 bank accounts in other countries. For more details it is to question the accused separately and verify whether Raju alone, or with his brother, handled select bank accounts with large sums as deposits as well as correspondence for placing, renewing or confirmation of deposits.

SEBI has estimated a loss of over Rs 20,000 crore for investors in the Satyam scrip worldwide after the January 7 sensational statement about fraud by Raju. Its investigations have shown that auditors Gopalakrishnan and Talluri played a lead role in creation of artificial demand for the